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在台灣選擇購買衣物的通路：價格、折扣與賣家聲譽對線上與實體店購買決策之影響

Choosing Where to Buy Clothing in Taiwan: Price, Discounts, and Seller Reputation in Online and Offline Purchase Decisions

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摘要

本論文探討價格、折扣與賣家聲譽如何影響台灣消費者在購買服飾時於線上與實體通路之間的選擇，特別是其是否會由實體店面轉向線上購買。儘管台灣電子商務市場持續成長，線上零售在整體服飾銷售中所占比例仍相對較低。了解影響此類通路轉換的因素，對線上賣家與實體零售商皆具有重要參考價值，也有助於補充目前相關實證研究仍相對有限之市場的研究成果。

本研究採用 2 × 2 × 4 因子設計之情境實驗，操弄賣家聲譽（高／低）、基礎價格（新臺幣 700 元與 1,500 元）以及折扣幅度（0%、10%、25%、50%）。共有 121 位受試者各自評估四個情境，共產生 484 筆通路選擇觀察值。研究資料以混合效果羅吉斯迴歸模型進行分析，並納入受試者隨機截距。

研究結果可歸納為三點。第一，折扣為影響通路選擇最重要的整體因素：即使是小幅折扣，也會使消費者選擇線上通路的勝算約增加六倍，且此效果隨折扣幅度提高至 25% 時達到最高，在 50% 折扣時則略為減弱。第二，賣家聲譽為影響力最大的單一預測因子；高聲譽賣家的商品資訊會使消費者選擇線上通路的勝算約增加八倍。第三，相較於商品資訊所傳遞的訊號，個別消費者特質（如基礎信任與風險趨避）對通路選擇的影響相對較弱。其中一個可能的解釋是，台灣的消費者保護制度降低了消費者進行線上購買時所面臨的潛在風險，因此使個人風險相關傾向對通路選擇的影響較不明顯。

本論文的主要貢獻，在於為台灣服飾市場中商品資訊訊號的作用提供量化證據。研究結果顯示，在消費者保護制度較完善的市場中，日常服飾的通路選擇可能主要受到商品資訊所傳遞的訊號影響，而個人特質傾向的影響則相對較小。

關鍵詞：通路選擇、線上購物、折扣、賣家聲譽、訊號理論、情境實驗、台灣

Abstract (English)

This thesis examines how price, discounts, and seller reputation influence consumers' choice between online and physical-store channels for clothing purchases in Taiwan, specifically their decision to switch from a physical store to an online listing. Although Taiwan's e-commerce market is growing, online retail still accounts for a relatively small share of clothing sales. Understanding what drives this channel shift is relevant for both online sellers and brick-and-mortar retailers and adds empirical evidence from a market that has received limited academic attention.

This study uses a 2 × 2 × 4 factorial vignette experiment that varies seller reputation (high/low), base price (700 NTD vs. 1,500 NTD), and discount level (0%, 10%, 25%, 50%). A total of 121 respondents evaluated four vignettes each, yielding 484 channel-choice observations. The data were analyzed using mixed-effects logistic regression with random intercepts for respondents.

The findings can be summarized in three main points. First, discount is the strongest overall driver of channel choice: even a modest discount increases the odds of switching to the online option by roughly six times, with the effect strengthening up to 25% and slightly weakening at 50%. Second, seller reputation has the largest single-predictor effect, with high-reputation listings increasing the odds of online choice by approximately 8 times. Third, individual consumer traits, such as baseline trust and risk aversion, play a smaller role than listing-level signals. One plausible explanation is that Taiwan's consumer protection reduces the downside risk of online purchases for all consumers, weakening the role of individual risk-related dispositions in channel choice.

Keywords: channel choice, channel switching, discount, seller reputation, signaling theory, vignette experiment, Taiwan

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1. Introduction

1.1 Background and motivation

According to data from the Taiwan Ministry of Economic Affairs, the total sales of online retail businesses reached approximately 653.3 billion NTD in 2024, marking a 2.7% year-on-year increase. This growth slightly outpaces the 2.6% growth of physical retail, indicating a gradual shift toward online shopping, although the change is marginal (International Trade Administration [ITA], 2025). Apparel consistently ranks among the most popular online categories, likely due to competitive pricing. The market is expected to expand with an annual growth rate of 7.9% through 2029 (ITA, 2025). However, overall online retail sales account for less than 12% of all sales in Taiwan (Statista, 2024), indicating that, despite growth in online retail, physical stores remain the dominant channel, especially for clothing purchases.

The 2024 Taiwan Internet Survey found that 48.6% of internet users in Taiwan actively shopped online (ITA, 2025). Despite high engagement, a lack of trust in online platforms is one of the main reasons the majority of consumers prefer physical stores. According to a regional commerce report by the consulting firm KPMG, 73% of Taiwanese respondents are concerned about privacy and security when shopping online, and only 5% report full confidence in e-commerce platforms (ITA, 2025). The growing adoption of online shopping and persistent trust concerns create a challenging decision-making environment for clothing consumers. They must weigh the price benefits of online listings against the ability to touch, try on, and inspect garments in person before committing to a purchase.

1.2 Theoretical Context and Research Gaps

Consumers are drawn to online channels by the price advantages they offer, yet are held back by trust concerns. This pattern raises an important question: what determines whether the consumer ultimately chooses to purchase online or continue shopping in-store?

Clothing is typically classified as an experience good. Key attributes such as fit, comfort, and fabric quality require direct sensory evaluation by the potential consumer (Lee & Chen-Yu, 2018). Both Chinese and Taiwanese respondents consider fit and comfort the two most important evaluation criteria when purchasing new clothing (Rahman et al., 2018). When shopping online, consumers lose access to these cues, creating information asymmetry between the seller and the buyer (Mavlanova et al., 2012). Two theoretical perspectives help us explain how consumers navigate this uncertainty.

The first is signaling theory. Originally developed by Spence (1973) to explain how job applicants communicate their ability to employers, the framework has since been applied to marketing and consumer behavior. Kirmani and Rao (2000) extended this logic to explain how sellers and e-commerce platforms can reduce information gaps by providing credible, observable cues about product quality. The key requirement is that these cues must be difficult for low-quality sellers to imitate; otherwise, they would not carry any real information. In e-commerce, seller ratings (usually in the form of stars), backed by the volume of completed transactions, fulfill this role. These signals take time and consistent performance to build, making it difficult for unreliable sellers to imitate (Mavlanova et al., 2012). Reputation is not the only important signal in online listings. Pricing strategies, guarantee programs, and other listing features also communicate information to buyers; however, their effectiveness varies across sellers (Qiu et al., 2018).

The second is the trust-risk framework. Trust is the belief that the other party will act competently and honestly. It reduces perceived risk and increases consumers' willingness to purchase online. Perceived risk operates in the opposite direction, reducing consumers' willingness to purchase (McKnight et al., 2002; Kim et al., 2008). Meta-analytic evidence confirms that trust positively influences purchase intention across social commerce, with trust in individual sellers showing stronger effects than trust in platforms or online communities (Wang et al., 2022). For clothing specifically, the inability to physically verify fit and quality before purchasing makes this trust-risk trade-off more consequential than it would be for standardized products like books or electronic accessories, where product specifications are objectively verifiable.

Price and discounts add another layer. Discounts increase the perceived economic benefits of an online listing. However, they can also raise quality concerns, particularly when consumers cannot easily determine whether the discount reflects a genuine deal or is due to product-related issues (Lee & Chen-Yu, 2018). The impact of a discount also depends on the base price. A 25% discount on a 1,500 NTD jacket saves 375 NTD, while the same percentage on a 700 NTD jacket saves only 175 NTD. Higher-priced items amplify both the potential savings and the financial risk (Kim et al., 2008).

Beyond these economic factors, consumers balance practical considerations, such as price and convenience, against experiential ones, such as the ability to touch and try on products. This trade-off is especially relevant for fashion purchases (Zielke & Komor, 2025; Jebarajakirthy et al., 2021; Basu & Sondhi, 2021). Even in online shopping, transactional aspects matter: for Taiwanese clothing shoppers, non-website features such as return policies, payment processes, and product quality have a stronger effect on satisfaction than website features such as information quality and system quality (Tsai et al., 2016). While the Consumer Protection Act grants online buyers an unconditional seven-day return window (Consumer Protection Act of Taiwan, 1994, Article 19), it does not remove the inconvenience of returns or the initial uncertainty.

Despite this body of research, four gaps motivate our study. First, most existing studies examine purchase intention in a single-channel setting, rather than modeling a direct trade-off between online and offline options for the same item, with physical stores serving as a lower-risk reference point. Second, the main effects of seller reputation and price discounts are well documented separately, but their interaction effect remains underexplored; the same discount may be perceived differently depending on whether the seller's reputation is high or low Third, individual differences in trust and risk aversion are known to shape online purchase behavior, but whether these traits influence the effectiveness of listing-level signals in a two-channel context has not been tested. Fourth, much of the existing evidence comes from Western or broadly East Asian contexts, with limited attention to Taiwan's specific e-commerce environment (Chang & Guo, 2021; Rahman et al., 2018).

1.3 Research Questions

To address these gaps, we investigate how consumers navigate the trade-off between online price incentives and offline experiential certainty when purchasing clothing. Specifically, we pose the following research questions:

RQ1: How do discount levels and base price influence consumers' choice between purchasing clothing online versus in a physical store?

RQ2: How does seller reputation interact with price and discount signals in shaping channel choice?

RQ3: Among consumers in Taiwan, do individual differences in baseline trust and risk aversion moderate the effects of listing-level signals on channel choice?

1.4 Methodology Overview

We employ a vignette-based choice experiment with a 2 (seller reputation: high vs low) × 2 (base price: 700 NTD vs. 1,500 NTD) × 4 (discount: 0%, 10%, 25%, 50%) factorial design, yielding 16 unique vignettes. Each vignette presents a simulated online listing displaying the seller's star rating, transaction count, the in-store price (fixed at either the high or low level), and the online price. Respondents are asked to imagine that they have found a jacket they wish to buy in a physical store and, before paying, they find the same jacket listed on an online platform. They then choose between completing the purchase in-store or switching to the online listing. To manage respondent fatigue, the 16 vignettes are distributed across four survey versions, with each respondent evaluating four vignettes.

1.5 Research Contributions

The main theoretical contribution lies in applying signaling theory and the trust-risk framework to a dual-channel setting in which the offline option serves as a risk-free reference point. Most existing applications examine whether the consumer will buy from a given seller. Our design models the explicit choice between an online listing and a physical store where the same item can be inspected in person.

Methodologically, the factorial vignette design allows us to isolate the individual effects of seller reputation, base price, and discount level from their interactions, something that observational or single-factor survey designs cannot achieve. This makes it possible to test whether, for example, the effects of discounts depend on the seller's reputation or the item's base price.

In practice, the results should provide guidance for online sellers seeking to attract buyers and for brick-and-mortar retailers trying to understand what makes their customers switch.

1.6 Thesis Structure

The remainder of this thesis is organized as follows. Chapter 2 develops the theoretical background and derives the hypotheses. Chapter 3 describes the research methodology in detail, including the experimental design, measures, and analytical methods. Chapter 4 presents the results. Chapter 5 discusses the findings, addresses limitations, and outlines possible future directions.

2. Theoretical background

This chapter develops the theoretical framework and derives the hypotheses we test. Our study draws on two theoretical perspectives, signaling theory and the trust-risk framework, to explain how seller reputation, price, and discount levels influence consumers' choice between purchasing clothing online and in a physical store. The chapter is organized as follows. Section 2.1 introduces the signaling theory and explains its application to online commerce. Section 2.2 grounds the online-versus-offline channel choice in existing literature on clothing purchase behavior. Section 2.3 develops hypotheses on how price and discount levels function as signals that shift consumers between channels. Section 2.4 examines seller reputation as a trust-building signal and derives interaction hypotheses. Section 2.5 introduces individual-level moderators, baseline trust, and risk aversion. Section 2.6 summarizes all hypotheses and presents the conceptual model.

2.1 Information Asymmetry and Signaling Theory

When a consumer shops for clothing in a physical store, they can pick up the item, feel the fabric, check the stitching, and try it on before paying. This direct inspection reduces information asymmetry about the product between the seller and the buyer at the point of purchase. However, it does not eliminate it, as attributes such as durability and wash behavior remain unknown until after use. Online shopping reverses this balance. The buyer sees only what the seller chooses to show, in most cases, product photographs, text descriptions, and platform-generated indicators. The seller knows whether the photos accurately represent the product; the buyer does not. This gap is the information asymmetry that signaling theory addresses. For our purposes, the key implication is that a consumer standing in a physical store already has access to most product information. An online listing should provide signals strong enough to make consumers choose the online option over the certainty of a physical inspection.

Signaling theory was first introduced by Spence (1973), who showed that in markets where one party knows more than the other, the informed party can invest in observable actions to communicate their hidden qualities. Spence's key argument was that signals become credible only when the cost of acquiring them is negatively correlated with the quality being signaled. If everyone can acquire the signal at the same cost, then it conveys no meaningful information. If only high-quality parties find the investment worthwhile, the signals become credible. Kirmani and Rao (2000) extend this logic to marketing and develop a typology that classifies the signals by the nature of the bond at stake. Default-independent signals involve up-front expenditure regardless of whether the quality claim is true, such as advertisement spending or investment in brand reputation. Default-contingent signals impose costs only if the firm fails to deliver, such as high prices that risk future revenue if quality disappoints or warranties that risk future repair costs. Across these categories, the same principle applies: for signals to separate high-quality sellers from low-quality ones, the cost of faking them must exceed the benefit of deception.

In our study, we measure seller reputation using star ratings and cumulative transaction volume, which we interpret as signals closer to the default-independent category. Building a high rating across many transactions requires consistent, high-quality service, which is hard for unreliable sellers to replicate. Transaction volume may reflect not only service quality but also popularity and marketplace visibility; combined with star ratings, it gives a more complete picture of seller credibility than either metric alone. Price and discounts are more ambiguous. A discount could mean a legitimate promotion, a response to competition, an attempt to clear inventory, or a sign that something is wrong with the product. We address this ambiguity in Section 2.3, where we develop specific hypotheses on how discounts interact with other signals. However, the key point remains the same: discounts are not clean signals, and buyers have to interpret them in context.

Existing empirical work in e-commerce confirms these predictions. When website signals were classified by cost, purchase-timeline position, and ease of verification, high-quality sellers exhibited more signals. They favored the costly and easy-to-verify ones, such as third-party verification seals and live chats. Low-quality sellers, on the other hand, relied on cheaper, harder-to-check signals, namely self-written privacy and return policies (Mavlanova et al., 2012). These signals also tend to cluster: costly, easy-to-check ones often appear together, as do cheaper, harder-to-verify ones. Reputation signals on real platforms come in several forms: star ratings, transaction counts, buyer reviews, and platform-issued trust badges. Our vignettes operationalize seller reputation through a composite of star rating and total transaction count, which together capture the cumulative buyer feedback that consumers actually observe when comparing listings on platforms like Shopee. We exclude free-text buyer reviews from the manipulation to keep the signal quantitative and avoid additional variation that review count would introduce, which would make it harder to isolate the effect of reputation magnitude on channel choice.

Signal effectiveness also depends on context. A quasi-experiment on Taobao found that costly signaling programs benefited high-reputation sellers more than low-reputation sellers and were largely ineffective for cheap products, where buyers put less effort into processing the available information (Qiu et al., 2018). These findings come from platform-level programs rather than listing attributes like ours. However, they point to a similar pattern: the impact of the listing signals should vary with both seller credibility and product value.

This section has focused on how signaling theory explains the way sellers communicate quality in online markets. However, signaling theory is not the only thing influencing the channel choice decision. When buyers weigh an online listing against an offline alternative, they also rely on their general trust in the platform and the seller, assess the risk of bad outcomes against potential savings, and factor in how comfortable they are with uncertainty. The following sections develop these complementary perspectives.

2.2 Channel Choice for Clothing

Clothing is typically classified as an experience good, meaning that key attributes such as fit, comfort, and fabric quality can only be assessed through direct sensory evaluation (Lee & Chen-Yu, 2018). This is not just a theoretical distinction. When surveyed about their evaluation criteria, both Chinese and Taiwanese consumers ranked fit and comfort as the two most important factors when choosing clothing, even above price, style, and brand name (Rahman et al., 2018). These are attributes a buyer can assess directly in a physical store but only partially from an online listing. Online shoppers lose access to intrinsic cues and must rely on extrinsic cues, such as price, seller ratings, and product descriptions, as substitutes for what they cannot see or touch (Lee & Chen-Yu, 2018).

This creates a fundamental difference between the two channels. Physical stores offer direct product inspection, a hands-on shopping experience, and immediate gratification. Consumers driven by the need to touch and feel the products, or those who value the social and atmospheric aspect of shopping, tend to prefer offline retail (Basu & Sondhi, 2021). By contrast, online channels often offer better prices, greater convenience, easier cross-seller comparisons, and access to deals and peer recommendations (Basu & Sondhi, 2021). When consumers feel strong emotional involvement with a fashion purchase, for example, buying an outfit for a job interview or a special event, they prefer buying in-store, where they can try the clothing. When the emotional stakes are lower, such as replacing everyday basics, they are more open to buying online (Jebarajakirthy et al., 2021). For clothing in general, the shopping experience matters more to the channel decision than it does for standardized products like electronics, where factors such as price comparison tend to take precedence (Zielke & Komor, 2025).

The Taiwan market adds another layer to this dynamic. As noted in Chapter 1, online retail accounts for less than 12% of total retail sales in Taiwan (Statista, 2024). For Taiwanese online clothing shoppers, non-website features such as return policies, payment processes, and product quality have a stronger effect on satisfaction than website features like information quality and system quality (Tsai et al., 2016), suggesting that even within online shopping, transactional reliability carries significant weight. As noted in Chapter 1, the Taiwanese Consumer Protection Act grants online buyers an unconditional seven-day return window (Consumer Protection Act of Taiwan, 1994, Article 19), which reduces the financial risk of buying online. Nevertheless, it does not eliminate the inconvenience of returns, delivery wait times, or initial uncertainty. In short, Taiwan is a market where offline retail still dominates and where consumers need meaningful incentives to switch to online channels.

Our study captures this directly. Unlike most existing research, which typically examines purchase intention within a single channel, our vignette design presents a substitution scenario. The respondent has already found a jacket in a physical store, has already inspected it, and is ready to buy. At that point, they discover the same item listed online. The decision is not whether to buy, but where to buy. The offline option is the default: it is where the consumer already is, with direct access to the product and substantially more information than any listing can provide. The online listing is not competing against "no purchase" but against "buy it right here, right now." The following sections look at how specific listing signals, including base price, discounts, and seller reputation, influence this decision.

2.3 Price and Discounts

Discounts play two important roles in online purchase decisions. On the one hand, they increase the perceived savings and create a positive feeling about the purchase. On the other hand, they can lower perceived quality, and steep discounts can trigger a "too good to be true" feeling. Lee and Chen-Yu (2018) found that when online apparel shoppers were offered higher discounts, they realized greater savings but also perceived the product quality to be lower. In our study, this matters because the consumer already knows the in-store price. The discount is not compared to an abstract "original price," but to the actual price the buyer has just seen on the shelf.

This duality is central to how discounts shape channel choice. As a purely economic incentive, larger discounts should produce a stronger pull toward the online option, since the financial gain from switching increases with the size of the discount. Discounts can also function as cues that raise doubts about product quality and increase the perceived risk of buying online. Empirical work supports the simultaneous operation of both mechanisms. Lee and Chen-Yu (2018) found that price discounts affected perceived product quality in two opposite ways: directly, a large discount made the product seem lower in quality, but indirectly, the positive feelings created by the discount improved perceived quality. Zheng et al. (2022) further showed that consumers often attribute deeper discounts to product-related rather than promotional factors, with deeper discounts lowering perceived mean product quality. The implication is that a given discount can have two simultaneous effects on channel choice: a savings-driven pull toward online channels and a quality-suspicion push away from them. The net effect depends on which mechanism dominates, and this balance may shift as the discount grows.

We propose four hypotheses about how discounts shape the channel choice. H1a captures the general direction of the effect. H1b isolates the contrast between discounted and non-discounted. H1c tests whether the base price moderates the discount effect. H1d examines whether the effect has a non-linear limit.

The economic logic is straightforward: a larger discount means more money saved, which should make the online option more attractive (Lee & Chen-Yu, 2018). A consumer who sees the same jacket available online at 10% off has a reason to consider switching; at 25% off, the reason is stronger. Therefore, we propose:

H1a: Higher discount levels increase the probability of choosing the online channel over the physical store.

The contrast between any discount and no discount also matters. A consumer who sees the same jacket listed online at the same price has no economic reason to switch and every reason to stay in the store to inspect the product. Even a modest 10% discount introduces an incentive. H1b is distinct from H1a because the initial shift from no discount to any discount may be more important than incremental differences between discount levels. We therefore propose:

H1b: Any discount level (10%, 25%, or 50%) increases the probability of choosing the online channel relative to no discount (0%).

The effect of the percentage discount also depends on the base price. A 25% discount on a 1,500 NTD jacket saves the consumer 375 NTD, while the same percentage on a 700 NTD jacket saves only 175 NTD. At the same time, higher-priced items carry greater financial risk if they fail to meet expectations (Kim et al., 2008). In our design, the consumer has already inspected the jacket in person, thus they know what the product should look and feel like. What remains is the transaction risk: will the online seller deliver the same item, or will it be a counterfeit or a lower-quality version? However, when the potential savings are larger, they give the consumer a stronger reason to take the chance; thus, we expect that:

H1c: The positive effect of discount level on online channel choice is stronger at a higher base price.

Larger discounts increase the appeal of the online listing, but this effect may have limits. When a discount is small to medium, consumers tend to see it as a normal promotion. When it is large, they tend to attribute it to product-related issues, perceiving the product as lower quality (Zheng et al., 2022). At that point, the potential monetary benefits may be offset by the consumers' suspicions.

H1d: The positive effect of increasing discount levels on online channel choice may weaken at the highest discount level.

We have now established how discounts influence the channel choice. However, discounts do not operate in isolation. Their credibility depends on who is offering them. A large discount from the seller with thousands of positive reviews reads very differently from the same discount offered by a seller with low ratings and just a few transactions. The next section looks at how the seller's reputation shapes these effects.

2.4 Seller Reputation

In Section 2.1, we established that seller reputation functions as a credible signal in online markets. This section explains the trust mechanism behind the signal and derives three hypotheses about how reputation influences the channel choice.

Trust plays an important role for consumers considering online shopping. It reduces perceived risk and increases consumers' willingness to buy (McKnight et al., 2002; Kim et al., 2008). Meta-analytic evidence confirms that trust has a large positive effect on purchase intention across social commerce sectors, with trust in individual sellers showing a stronger effect than trust in platforms or online communities (Wang et al., 2022). This is relevant to our study as the signals we manipulate, star ratings and transaction volume, target seller-level trust specifically.

A high star rating, backed by a large number of completed transactions, suggests the seller is competent and reliable. A low rating with few transactions offers no such reassurance. In our scenario, the physical store involves no seller trust risk as the buyer receives the product immediately. By contrast, the online channel requires the buyer to trust the seller they have never dealt with. Reputation is the primary basis for making that judgment.

H2a: A high seller reputation increases the probability of choosing the online channel over the physical store.

As discussed in Section 2.3, discounts can be ambiguous. Whether a buyer sees a discount as a good deal or a red flag depends partly on who is offering it. A seller with a strong track record gives the buyer a reason to interpret the lower price as a genuine offer. A seller with low ratings and few sales does not. For example, two listings for the same jacket at 50% off, one from a seller with 9,000 transactions and a 4.5-star rating, the other from a seller with 200 transactions and a 2.5-star rating, offer the same discount but very different levels of reassurance. This pattern is consistent with evidence from Taobao, where signaling programs proved to be more effective for high-reputation sellers (Qiu et al., 2018).

H2b: The positive effect of discount level on online channel choice is stronger when seller reputation is high than when it is low.

Seller reputation should also matter more when the base price is higher. This is not about the size of the savings but about the potential risk. A buyer who pays more for an item that turns out to be counterfeit, the wrong size, or of lower quality faces a greater loss (Kim et al., 2008). At the lower price, even purchasing from a seller with a weak profile may feel like an acceptable gamble. At the higher price, the buyer needs more reassurance, and a strong reputation is the most direct source of that reassurance.

H2c: The positive effect of high seller reputation on online channel choice is stronger at a higher base price.

Thus far, we have examined how listing-level signals and seller reputation shape channel choice and their interaction. However, not all consumers respond to these signals the same way. Some people are naturally more comfortable with online transactions and need less convincing. Others are more cautious and need stronger signals before they consider switching. The next section examines how these individual differences moderate the effects we have discussed.

2.5 Consumer Traits

Sections 2.3 and 2.4 focused on the listing variables: base price, discounts, and seller reputation. These factors are the same for everyone who sees the same vignette. However, two consumers viewing the same listing may respond differently based on their individual traits. Some people are generally more comfortable buying online. Others are skeptical or cautious by nature. This section examines how these individual differences shape the channel choice.

McKnight et al. (2002) drew an important distinction between trust in a specific seller and what they called disposition to trust, a person's general tendency to trust others. Kim et al. (2008) described this disposition as a personality-oriented trait, shaped by lifelong experience and socialization rather than by any specific transaction. A consumer with a high disposition to trust tends to assume that online sellers are generally honest and that platforms are generally safe. A consumer with low disposition to trust approaches online shopping with more skepticism, regardless of what the listing shows. Our trust index, which combines items on platform trust, seller trust, and general consumer confidence, captures the respondents' overall orientation toward online transactions. It is not a pure measure of dispositional trust in McKnight's sense, but rather a composite reflecting the respondent's comfort with the online shopping environment.

Consumers who score higher on this trust index should be more willing to choose the online channel because they start from a position of comfort rather than suspicion. They need less convincing from listing-level signals (McKnight et al., 2002; Kim et al., 2008). Consumers with lower baseline trust are more likely to shop in physical stores, where transactions do not depend on an unfamiliar party.

H3a: Higher levels of trust index are associated with a higher probability of choosing the online channel.

Baseline trust should also affect how much seller reputation matters. McKnight et al. (2002) noted that disposition to trust has the strongest influence when both the platform and the specific seller are unfamiliar. For a consumer who already trusts the online environment, a high seller rating confirms what they already assumed. A low rating may concern them less than it would a skeptical consumer, as their starting assumption is more generous. For a consumer with low baseline trust, seller reputation becomes critical. They are skeptical by default and need concrete evidence to overcome that skepticism. A strong reputation can shift their beliefs, while a weak one reinforces their caution. In other words, seller reputation matters more for consumers who start with less trust.

H3b: The positive effect of seller reputation on online channel choice is weaker when the trust index is higher.

Risk aversion is a separate trait from trust. Trust is about the other party's expectations: will the seller deliver? Risk aversion is about the person's own tolerance for uncertainty: how much potential downside am I willing to accept? Some consumers are more sensitive to potential losses than others, regardless of how trustworthy the seller appears (Kim et al., 2008). Online shopping inherently carries risks that physical stores do not: the product might not match expectations, delivery might be delayed, and returns might be inconvenient (Forsythe et al., 2006). Risk-averse consumers weigh these downsides more heavily. In our scenario, the physical store is the safer option. The buyer walks out with exactly what they wanted. A risk-averse consumer is more likely to stick with that certainty.

H4a: Higher risk aversion is associated with a lower probability of choosing the online channel.

Risk aversion should also affect how consumers respond to seller reputation. When reputation is low, risk-averse consumers face exactly the kind of situation they try to avoid: an uncertain seller, an uncertain product, and no guarantee that things will go well. They are likely to reject the online option almost entirely. When reputation is high, it provides the kind of reassurance that risk-averse consumers need most. The gap between a low-reputation and high-reputation seller matters more for someone who is sensitive to potential losses than for someone who is comfortable with uncertainty (Forsythe et al., 2006; Kim et al., 2008).

H4b: The positive effect of seller reputation on online channel choice is stronger when risk aversion is higher.

2.6 Summary of Hypotheses and Conceptual Model

The previous sections developed eleven hypotheses across three layers. The first layer concerns the direct and interactive effects of the discount level and the base price on channel choice (H1a-d). The second layer introduces seller reputation as both a direct predictor and an interaction term with discounts and base price (H2a-c). The third layer adds individual-level moderators, baseline trust, and risk aversion, which shape how consumers respond to listing-level signals (H3a-b, H4a-b). Table 2.1 summarizes all hypotheses.

Hy-pothe-sis	Statement	Type
H1a	Higher discount levels increase the probability of choosing the online channel over the physical store.	Main effect
H1b	Any discount level (10%, 25%, or 50%) increases the probability of choosing the online channel relative to no discount (0%).	Contrast
H1c	The positive effect of discount level on online channel choice is stronger at a higher base price.	Interaction
H1d	The positive effect of increasing discount levels on online channel choice may weaken at the highest discount level.	Non-linear
H2a	A high seller reputation increases the probability of choosing the online channel over the physical store.	Main effect
H2b	The positive effect of discount level on online channel choice is stronger when seller reputation is high than when it is low.	Interaction
H2c	The positive effect of high seller reputation on online channel choice is stronger at a higher base price.	Interaction
H3a	Higher levels of trust index are associated with a higher probability of choosing the online channel.	Main effect
H3b	The positive effect of seller reputation on online channel choice is weaker when the trust index is higher.	Moderation
H4a	Higher risk aversion is associated with a lower probability of choosing the online channel.	Main effect
H4b	The positive effect of seller reputation on online channel choice is stronger when risk aversion is higher.	Moderation

Table 2.1 *Hypothesis summary*

Figure 2.1 presents the conceptual model. The model includes three experimentally manipulated listing-level variables (discount level, base price, and seller reputation) as predictors of the binary channel-choice outcome (online vs. physical store). Discount level and base price interact (H1c), and both interact with seller reputation (H2b, H2c). At the individual level, the trust index and risk aversion directly affect the channel choice (H3a, H4a) and moderate the effect of the seller reputation (H3b, H4b). The discount main effect is expected to be positive but potentially non-linear at the highest level (H1a, H1d).

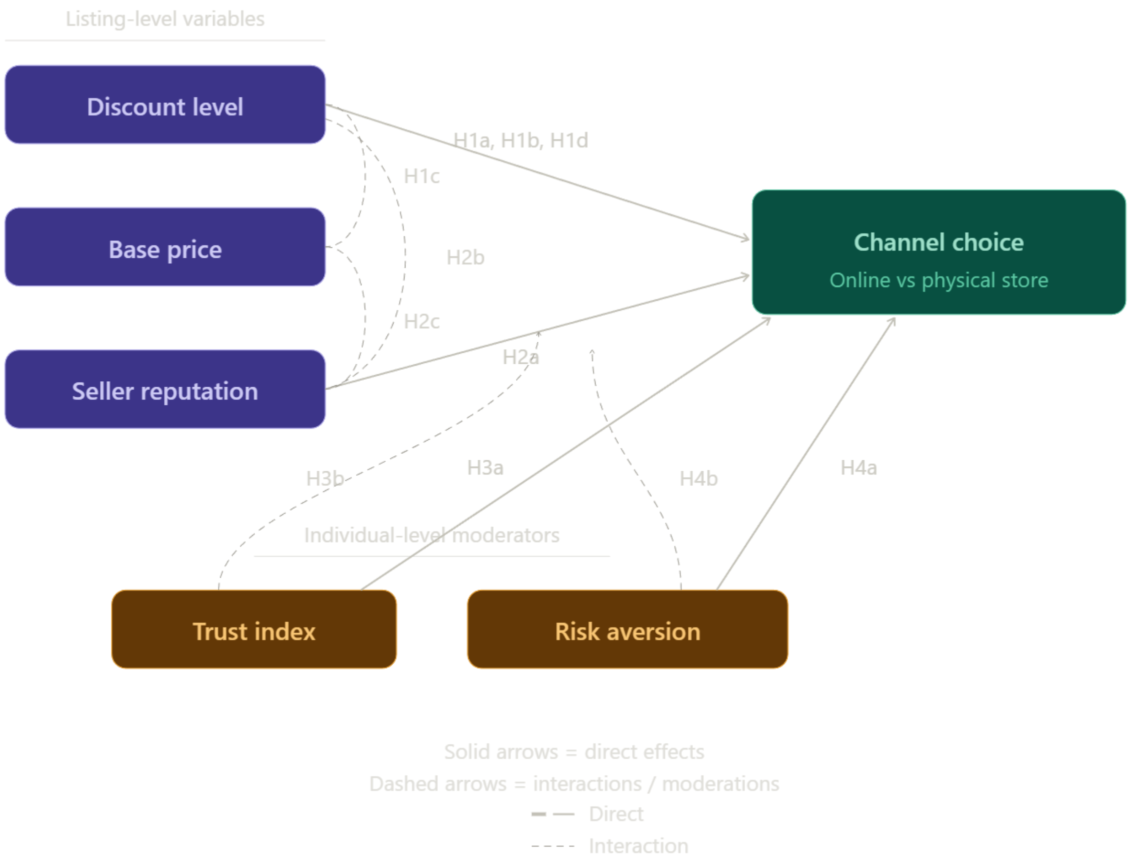

Figure 2.1

3. Methodology

3.1 Research design

Chapter 2 developed the theoretical framework and hypotheses. This chapter describes how we test them.

We use a vignette-based experiment. Respondents are told they have found a jacket they like in a physical store and are about to pay for it. Before they do, they notice the same jacket listed on an online marketplace. They then choose whether to buy in-store or online. Only the listing details change across vignettes; the product itself stays the same. This gives us control over the variables we want to test without the noise a field study would bring, such as competing listings, platform algorithms, or retailer-specific effects (Aguinis & Bradley, 2014).

The design of the present study builds on a preliminary study we conducted earlier, which examined the same channel choice between buying online and in a physical store for second-hand clothing. This study used the same vignette design and helped us develop and refine the instrument and procedure adopted here. The present study applies this approach this approach to clothing purchases more generally.

The experiment follows a 2 × 2 × 4 full factorial design. Seller reputation has two levels: high (4.5 stars, 9,000+ completed sales) and low (2.5 stars, 200 completed sales). Base price has two levels: 700 NTD and 1,500 NTD. Discounts have four levels: 0%, 10%, 25%, and 50%. Crossing these three factors produces 16 unique vignettes.

Version	Vignette	Reputation	Base Price (NTD)	Discount	Online Price (NTD)
A	1	Low	700	0%	700
A	6	Low	1,500	10%	1,350
A	11	High	700	25%	525
A	16	High	1,500	50%	750
B	2	Low	700	10%	630
B	5	Low	1,500	0%	1,500
B	12	High	700	50%	350
B	15	High	1,500	25%	1,125
C	3	Low	700	25%	525
C	8	Low	1,500	50%	750
C	9	High	700	0%	700
C	14	High	1,500	10%	1,350
D	4	Low	700	50%	350
D	7	Low	1,500	25%	1,125
D	10	High	700	10%	630
D	13	High	1,500	0%	1,500

Having every respondent evaluate all 16 vignettes would cause fatigue and reduce both response quality and response rate. Instead, we distribute the 16 vignettes across four survey versions, with each version containing four vignettes. Each respondent sees only one version and evaluates four scenarios. This keeps the task short enough to maintain attention while still giving us multiple observations per respondent. The dependent variable is binary: for each vignette, the respondent chooses either “buy online” or “buy in the physical store”. Since each respondent answers this question four times, the observations are nested within individuals. We address this clustering in Section 3.6 when we describe the analytical approach.

Trust and risk are measured once per respondent, after the vignette tasks. We deliberately placed these items after the vignettes. If respondents answered trust and risk questions before the vignettes, it could prime them to think more about the uncertainty before making their channel choices, which would bias the results (Schwarz, 1999). By measuring these traits after the vignettes, we keep the channel choice responses closer to what the listing signals alone would produce.

3.2 Vignette design

The scenario is identical across all vignettes. The respondent is told they have decided to buy a new jacket. They walk into a physical store, find one they like, and are about to pay. Before they do, they check the online marketplace and find the exact same jacket listed there. Based solely on the information in the listing, they decide whether to buy online or in-store. This scenario creates a direct substitution choice: same product, two channels, different conditions.

The listing shows the seller's star rating and number of completed sales, the in-store price, and the online price. These four elements carry the three experimental variables. Reputation is shown as a composite of star rating and sales count, which vary together by design. Base price appears as the in-store price. The discount is reflected in the gap between the in-store and online prices. In the 0% discount scenario, both prices are identical, so the respondent sees no financial reason to switch channels.

We used an AI-generated image of a plain dark bomber jacket with no brand, logo, or distinctive design features. This was a conscious choice. A photo of a real jacket could lead respondents to focus on the brand or style rather than on the listing signals we are testing. Figures 3.1 and 3.2 show examples of the vignettes used.

We are aware that real-world ratings can be inflated through fake reviews or other forms of manipulation, which weakens their credibility as quality signals. The composite we use, a star rating paired with a high transaction count (9,000+ completed sales in the high-reputation condition), is harder to fabricate at scale than a small number of inflated reviews. The signal is not immune to manipulation, but it shares features of costly or cumulative signals that Spence (1973) and Kirmani and Rao (2000) identify as carrying credible information. In the vignette setting, our interest is in how consumers respond to this displayed reputation signal when comparing listings, rather than in whether the underlying numbers reflect genuine seller quality in every case.

Everything else stays constant across vignettes. The scenario text, jacket image, and listing layout are all the same. The only things that change are the star rating, number of sales, and in-store and online prices. This means that any differences in channel choice between vignettes can be traced back to the manipulated variables rather than to differences in product or personal style.

The 16 unique vignettes are distributed across four survey versions, each with four vignettes. This is a block-randomized fractional allocation of the 2 × 2 × 4 factorial design into four blocks of four. Within each version, the four vignettes are balanced across seller reputation and base price: each version contains two high-reputation and two low-reputation vignettes, and two high-price and two low-price vignettes. The four versions also systematically differ in their discount composition, with each version containing exactly one vignette at each of the four discount levels.

Figure 3.1 *Chinese vignette example*

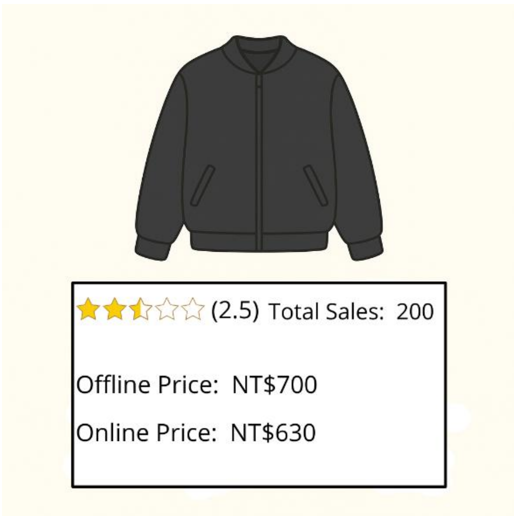

Figure 3.2 *English vignette example*

Within each version, the vignettes are presented in a fixed order, with discounts increasing from 0% to 50%. Consequently, the discount level is fixed by the vignette's position relative to the respondent. We are unable to fully separate the effect of the discount level from the potential effect of the vignette position, such as carryover from earlier vignettes. Reputation and base price are not affected as their combinations are counterbalanced across positions and versions.

3.3 Measures

We use three types of variables: a binary channel choice measured at the vignette level, individual-level trait measures for trust and risk aversion, and demographic controls. The three experimental factors, seller reputation, base price, and discount level, are assigned by the vignette design described in Section 3.2 and coded as follows: seller reputation as a binary variable (1 = high, 0 = low), base price as a binary variable (1 = 1,500 NTD, 0 = 700 NTD), and discount level as a four-level factor (0%, 10%, 25%, 50%).

For each vignette, the respondent chooses between “buy in-store” and “buy online.” That gives us one binary observation per vignette and four per respondent. Online is coded as 1, in-store as 0. Trust is measured through eight items on a 7-point Likert scale, from strongly disagree to strongly agree. The items are designed to capture the respondent's overall comfort with online shopping, not their feelings about a specific seller or listing. Three items ask about platform trust: whether the platform handles disputes fairly, protects personal data, and provides a safe shopping environment. Two ask about seller trust: whether most online sellers are trustworthy, deliver on their promises, and sell products that meet expectations. The remaining two items capture broader trust: whether respondents' past experiences buying clothing online have been positive, and whether they tend to trust others unless given a reason not to. These eight items are averaged into a single trust index score. As discussed in Section 2.5, this composite does not measure dispositional trust in a strict sense but reflects the respondents' overall orientation toward online transactions.

Risk aversion is measured with a single item on a 7-point scale: “I prefer to avoid risks in my decisions (I tend to choose the safe/certain option over a risky one).” We opted for a single item because risk aversion is a broad trait that most people can assess directly, and adding more items would lengthen the survey without much additional precision, especially given that respondents have already answered four vignette questions and eight trust items by this point.

The questionnaire also collects basic demographics: age (five brackets from 18-24 to 54+), gender (male, female, other, prefer not to say), current status (student, working, other), monthly personal income (eight brackets), and average monthly clothing budget (five brackets). These are used to describe the sample. Some may also serve as controls in the analysis, depending on the model.

3.4 Questionnaire Design

The questionnaire follows a deliberate order. It opens with a brief introduction explaining the study's purpose, a privacy statement, and a consent notice. The first substantive question is a screening item: “Do you currently live in Taiwan?” Respondents who answer "no" are excluded, as the study focuses on consumers in the Taiwanese market.

After screening, respondents move directly into vignette scenarios. Each vignette shows the jacket image and listing card, and respondents choose their channel before moving on to the next one. Placing vignettes first ensures that respondents engage with the core of the experiment while they are still fresh and attentive. It also reduces the likelihood that their choice is influenced by the trust and risk questions that come later.

The eight trust items and the single risk-aversion item appear after the vignettes. Placing these items after the vignettes avoids priming. If we asked respondents how much they trusted online sellers before showing them the vignettes, this could affect their choices (Schwarz, 1999). By placing these items after channel choices, we reduce that risk.

Demographics come last: age, gender, current status, monthly income, and clothing budget. As the respondents are likely fatigued at this point, these questions require the least cognitive effort. Placing them last also avoids the possibility that sensitive questions, particularly about income, might make the respondents uncomfortable early in the survey.

The questionnaire is available in two languages: Chinese and English. The English version is included to reach foreign residents living in Taiwan. All versions use the same vignettes, trust and risk items, and demographic questions. The three Chinese versions correspond to different vignette blocks (A, C, and D), while the English version uses block B. This means that the language and vignette assignments are not fully independent for the English subsample, a limitation we will address in Chapter 5.

3.5 Data Collection

Data were collected through an online survey hosted on Google Forms. The questionnaire was distributed through two channels: in-person recruitment and online sharing. For in-person recruitment, potential respondents at university campuses, public waiting areas, and other locations in Taipei were shown a QR code linking to the survey. For the Chinese versions, the link cycled through the three different vignette blocks. For online distribution, the survey link was shared on social media platforms such as Instagram and Dcard, as well as through personal networks.

The sample is a convenience sample and is not intended to be representative of the Taiwanese population. However, the screening question ensured that all respondents currently live in Taiwan, which keeps the data within the study's geographic scope. Combining in-person and online recruitment helped reach respondents beyond the university population, including working adults and older age groups.

Chinese-speaking respondents were directed to one of three Chinese-language survey versions, corresponding to vignette Blocks A, C, and D. The shared link rotated respondents across these three blocks with each click or scan, cycling through the versions in sequence. English-speaking respondents received Version B, the single English-language block, through a separate link distributed to foreign residents in Taiwan. As noted in Section 3.4, this means that language and vignette assignment are not fully independent for the English subsample. The rotation was not strict respondent-level randomization, but it kept the three Chinese blocks roughly balanced as responses arrived from different recruitment channels. Minor differences in response counts across the Chinese versions reflect a small number of test scans conducted by the researcher during pilot checks of the rotation mechanism.

A total of 121 responses were collected between February and May 2026. Since each respondent evaluated four vignettes, this produced 484 vignette-level observations. With 16 unique conditions in the full design, this yields an average of approximately 30 observations per condition, providing a practical basis for estimating the mixed-effects logistic regression model further described in Section 3.6. All survey items were mandatory, so completed submissions contain no missing values. Respondents who opened the survey but did not complete it were excluded from the dataset.

3.6 Analytical Strategy

Since our outcome is a binary variable, we use a logistic regression; standard logistic regression assumes all observations are independent. In our design, each respondent evaluates four vignettes, which means four observations are nested within the same individual. Responses from the same person are likely to be correlated: a respondent who chooses online for the first vignette might be more inclined to do so for subsequent vignettes. Ignoring this clustering would underestimate the standard errors and produce misleadingly significant results.

To account for this nesting, we use a mixed-effects logistic regression model, also known as a multilevel or hierarchical logistic model. This model includes a random intercept for each respondent, which allows the baseline probability of choosing online to vary from person to person. This captures that some respondents are generally more inclined to shop online, regardless of what the vignette shows. We use a random-intercept-only model rather than including random slopes for the experimental factors. With four observations per respondent, there is insufficient within-person variation to reliably estimate the slope variance, and a more complex structure would risk convergence issues without substantively changing the fixed-effect estimates.

The fixed effects in the model correspond to our hypotheses. At the vignette level, we include the discount level, base price, seller reputation, and their interactions: discount × base price (H1c), discount × reputation (H2b), and reputation × base price (H2c). Discount is coded as a set of dummy variables rather than as a continuous predictor, allowing us to estimate the effect of each discount level separately. This is necessary for testing the potential non-linear pattern at the highest level (H1d). To assess the general direction of the discount effect (H1a), we estimate a separate model with ordered polynomial contrasts across the four levels. The contrast between any discount and no discount (H1b) is tested through a planned comparison of the 0% against the combined 10%, 25%, 50%.

At the respondent level, we include the trust index and risk aversion as predictors of the overall probability of choosing online (H3a, H4a). We also include cross-level interactions between seller reputation and trust index (H3b) and between seller reputation and risk aversion (H4b). These cross-level interactions test the moderating effect of individual traits on listing-level signals. We additionally include a binary language indicator (English and Chinese) as a control variable. As discussed in Section 3.4, the English version is fully confounded within vignette block B, so the language coefficient cannot fully separate language differences from block B differences. The control nevertheless provides a partial check on whether the English subsample contributes an overall shift in online-choice propensity that the experimental factors do not capture.

Before estimating the model, we assess the internal consistency of the eight trust items using Cronbach's alpha. If the reliability is acceptable ($\alpha \geq 0.70$), the items are averaged into a single trust index score. Item-total correlations are also inspected as part of the reliability assessment.

Data cleaning, descriptive statistics, and visualizations are produced in Python. The mixed-effects logistic regression model is estimated using the lme4 package in R (Bates et al., 2015), which provides a well-established framework for generalized linear mixed models with binary outcomes. We report odds ratios alongside regression coefficients for ease of interpretation: an odds ratio above 1 indicates that the predictor increases the probability of choosing online, whereas an odds ratio below 1 indicates the opposite.

As a robustness check, we additionally re-estimated the main-effects model with occupational status (student or working) added as a covariate, and compared students and working respondents on the outcome and the trait measures. Status did not predict channel choice and did not alter the main results. The full comparison and model are reported in Appendix D.

4. Results

4.1 Sample Characteristics

The survey was distributed between February and May 2026 and yielded 121 complete responses. Since each respondent evaluated four vignettes, the final dataset contains 484 vignette-level observations. Table 4.1 summarizes the demographic composition of the sample.

The sample is relatively young and includes a high proportion of students (57% students), reflecting the recruitment channels described in Section 3.5. Just over half of the respondents (52.1%) were aged 18-24, while 33.1% were aged 25-34. A further 14% were aged 35-44. Only one respondent fell into the 45-54 bracket, and none were older. Working respondents made up 38.8% of the sample, and the remainder (4.1%) identified as other. The gender distribution was 56.2% female and 43.8% male; no respondents selected “other” or “prefer not to say”.

Income reflects the sample's student-heavy composition. Almost half (49.6%) reported either no income or income below 20,000 NTD per month. Another 9.9% reported 20,000-39,999 NTD, while 19.8% reported 40,000-59,999 NTD. Higher brackets were rare: only 16.5% earned above 60,000 NTD. The clothing budget showed the same pattern. Three-quarters of respondents (76.0%) budgeted below 3,000 NTD per month, with very few budgeting above 5,000 NTD.

The sample should be understood as a convenience sample rather than a representative cross-section of consumers in Taiwan. It is appropriate for estimating within-subject experimental effects, but its limitations regarding broader generalizability are discussed in Chapter 5.

Table 4.1 *Sample Demographics (N = 121)*

Variable	n	%
Gender		
Female	68	56.2%
Male	53	43.8%
Age		
18–24	63	52.1%
25–34	40	33.1%
35–44	17	14.0%
45–54	1	0.8%
Status		
Student	69	57.0%
Working	47	38.8%
Other	5	4.1%
Monthly income (NTD)		
None	21	17.4%
< 20,000	39	32.2%
20,000–39,999	12	9.9%
40,000–59,999	24	19.8%
60,000–79,999	11	9.1%
80,000–99,999	3	2.5%
≥ 100,000	6	5.0%
Prefer not to say	5	4.1%
Monthly clothing budget (NTD)		
< 1,000	42	34.7%
1,000–2,999	50	41.3%
3,000–4,999	14	11.6%
5,000–9,999	11	9.1%
≥ 10,000	2	1.7%
Prefer not to say	2	1.7%

4.2 Trust Index Reliability

Our trust index combines eight Likert-scale items that capture platform trust, seller trust, consumer confidence, and a general disposition to trust. Cronbach's alpha for the eight items was 0.808, well above the conventional 0.70 threshold, indicating acceptable internal consistency. All item-total correlations exceeded the 0.30 threshold, ranging from 0.352 (platform data privacy) to 0.645 (seller trustworthiness). No items were dropped, and the final trust index was computed as the unweighted mean of the eight items. Table 4.2 reports Cronbach's alpha and the full set of item-total correlations.

Table 4.2 *Trust Index Reliability (N = 121)*

Item	Item-total correlation
Cronbach's alpha (8 items)	0.808
Platform trust 1 (dispute resolution)	0.589
Platform trust 2 (data privacy)	0.352
Platform trust 3 (safe shopping)	0.583
Seller trust 1 (trustworthy)	0.645
Seller trust 2 (delivers as promised)	0.417
Consumer trust 1 (clothing meets expectations)	0.620
Consumer trust 2 (past experiences positive)	0.567
General trust 1 (trust others)	0.467

Note. Items measured on 7-point Likert scales. All item-total correlations exceed the 0.30 threshold for inclusion.

Table 4.3 *Trust Index and Risk Aversion Descriptives (N = 121)*

Variable	Mean	SD	Min	Max
Trust index (mean of 8 items)	4.61	0.82	2.38	6.62
Risk aversion (single item)	5.26	1.23	2	7

Trust scores ranged from 2.38 to 6.62. The mean was 4.61 (SD = 0.82). Risk aversion, measured by a single item on the same 1-7 scale, had a mean of 5.26 (SD = 1.23). Both measures lean above the midpoint, with the sample reporting moderate baseline trust in online shopping and a stronger tendency toward risk aversion. Figure 4.1 shows the distribution of the trust index.

Figure 4.1 *Distribution of trust index scores*

4.3 Online Choice Rates

Across all 484 observations, 51.9% of choices were for the online channel and 48.1% for the in-store option. This near-even split masks the differences across the experimental conditions, which we examine next. Online choice differs most across the discount levels. With no discount, the online choice rate was only 16.5%. At a 10% discount, this rose to 51.2%; at 25%, to 65.3%; and at 50%, to 74.4%. The jump from 0% to 10% is the largest, while the gains diminish at higher discount levels. Figure 4.2 visualizes this pattern.

Figure 4.2 *Online choice rate by discount level*

Seller reputation produced a similar shift. Under low reputation, the online choice rate was 38.4%. Under a high reputation, it rose to 65.3%, a 27-point gap. Base price showed little difference in aggregate choice rates: 50.4% online at 700 NTD compared to 53.3% at 1,500 NTD. The model results in Section 4.5 show that price plays a larger role through its interaction with discount than the raw aggregate. Table 4.4 reports the full breakdown.

Table 4.4 *Online Choice Rates by Experimental Condition (N = 484)*

Condition	**Online %**	**N**
Discount level		
0%	16.5%	121
10%	51.2%	121
25%	65.3%	121
50%	74.4%	121
Seller reputation		
Low (2.5★, 200 sales)	38.4%	242
High (4.5★, 9,000+ sales)	65.3%	242
Base price		
700 NTD	50.4%	242
1,500 NTD	53.3%	242
Overall	51.9%	484

Note: The percentages shown are conditional online-choice rates within each experimental condition. They therefore indicate the proportion of online choices within a given group rather than shares of the total sample, and do not sum to 100% across condition levels.

Two patterns in the interaction tables are worth mentioning before the model results. The discount × reputation gap widens with discount level, particularly at 25% (Figure 4.3, Table 4.5). The discount-to-price gap is non-monotonic, with high-price conditions gaining the most at 10% and 50% (Figure 4.4, Table 4.6). We discuss both patterns and the corresponding hypothesis tests in Sections 4.5 and 4.6.

Table 4.5 *Online Choice Rate by Discount × Seller Reputation*

Discount	Low Reputation	High Reputation	Gap
0%	8.9%	23.1%	+14.2 pp
10%	39.3%	61.5%	+22.2 pp
25%	41.5%	92.9%	+51.4 pp
50%	60.0%	91.1%	+31.1 pp

Figure 4.3 *Online choice rate by discount × seller reputation*

Table 4.6 *Online Choice Rate by Discount × Base Price*

Discount	700 NTD	1,500 NTD	Gap
0%	23.4%	8.8%	−14.6 pp
10%	45.6%	56.2%	+10.6 pp
25%	73.4%	56.1%	−17.3 pp
50%	59.6%	87.5%	+27.9 pp

Figure 4.4 *Online choice rate by discount × base price*

4.4 Model specification

We test the hypotheses using mixed-effects logistic regression as described in Section 3.6. Two models are estimated. Both include a random intercept for the respondent and a binary language control variable to assess residual differences between the English and Chinese subsamples. The first model uses ordered polynomial contrasts on discount to test H1a (the linear discount trend) and to provide the most direct estimates of the main effects of reputation, trust, and risk. The second model codes the discounts as dummy variables and includes the full set of hypothesized interactions. H1b is tested through a planned contrast computed from the interactive model. Main-effect coefficients for reputation, trust, and risk differ slightly between the two models because of the additional interactions in the second model. We report the main effects from the trend model and the interactions from the interactive model. Table 4.7 and Table 4.8 report the two models.

Table 4.7 *Mixed-Effects Logistic Regression: Main-Effects Model with Polynomial Discount Contrasts*

Predictor	B	SE	z	p	OR
Intercept	−0.963	0.262	−3.67	<.001	0.38
Discount, linear trend	2.979	0.353	8.45	<.001	—
Discount, quadratic	−0.828	0.255	−3.25	.001	—
Discount, cubic	0.170	0.236	0.72	.471	—
Reputation (high vs low)	2.089	0.308	6.78	<.001	8.07
Base price (1,500 vs 700 NTD)	0.108	0.248	0.44	.662	1.11
Language (English vs Chinese)	−0.051	0.456	−0.11	.911	0.95
Trust index (centered)	0.421	0.214	1.97	.049	1.52
Risk aversion (centered)	0.035	0.138	0.26	.797	1.04

Note. N = 484 observations from 121 respondents. Random intercept variance = 1.519 (SD = 1.23). AIC = 509.5, BIC = 551.3, log-likelihood = −244.7. Estimated with lme4 in R (Bates et al., 2015).

The interactive model converged cleanly under the bobyqa optimizer, with no convergence warnings. The random intercept for respondents had a variance of 1.06 (SD = 1.03). This corresponds to an intraclass correlation of 0.24, meaning that roughly a quarter of the unexplained variation in channel choice is attributable to differences between respondents. Marginal R^2 was 0.50, with conditional R^2 at 0.62 (computed using the performance package in R).

Table 4.8 *Mixed-Effects Logistic Regression: Full Interactive Model*

Predictor	B	SE	z	p	OR	95% CI (OR)
Intercept	−2.262	0.600	−3.77	<.001	0.10	[0.03, 0.34]
Discount 10% (vs 0%)	1.077	0.796	1.35	.176	2.94	[0.62, 13.97]
Discount 25% (vs 0%)	2.468	0.738	3.34	<.001	11.80	[2.78, 50.12]
Discount 50% (vs 0%)	1.869	0.722	2.59	.010	6.48	[1.57, 26.69]
Reputation (high)	1.471	0.714	2.06	.039	4.36	[1.07, 17.66]
Price (high)	−1.871	0.805	−2.32	.020	0.15	[0.03, 0.75]
Language (English)	0.304	0.729	0.42	.677	1.36	[0.32, 5.66]
Trust (centered)	0.450	0.247	1.82	.069	1.57	[0.97, 2.55]
Risk aversion (centered)	−0.077	0.160	−0.49	.628	0.93	[0.68, 1.27]
Disc 10% × Price (high)	2.649	1.065	2.49	.013	14.14	[1.75, 114.1]
Disc 25% × Price (high)	0.635	0.868	0.73	.464	1.89	[0.34, 10.34]
Disc 50% × Price (high)	3.912	1.084	3.61	<.001	50.01	[5.97, 419.0]
Disc 10% × Reputation	−0.190	0.774	−0.25	.806	0.83	[0.18, 3.77]
Disc 25% × Reputation	1.629	1.108	1.47	.141	5.10	[0.58, 44.70]
Disc 50% × Reputation	0.539	1.162	0.46	.643	1.71	[0.18, 16.71]
Reputation × Price	0.263	0.595	0.44	.659	1.30	[0.41, 4.17]
Reputation × Trust	−0.277	0.318	−0.87	.384	0.76	[0.41, 1.41]
Reputation × Risk	−0.064	0.216	−0.30	.768	0.94	[0.61, 1.43]

Note. N = 484 observations from 121 respondents. Random intercept variance = 1.061 (SD = 1.03). AIC = 500.7, BIC = 580.1, log-likelihood = −231.3.

4.5 Discount effects

4.5.1 H1a: Positive trend across discount levels

We predicted that higher discount levels would increase the probability of choosing online. The overall upward trend in discount was highly significant ($B = 2.98$, $SE = 0.35$, $z = 8.45$, $p < .001$), indicating a higher probability of online choice at higher discount levels. The largest shift occurred between 0% and 10%, with smaller gains at higher levels. We thus conclude that H1a is supported.

4.5.2 H1b: Any discount versus none

We predicted that any nonzero discount would increase the probability of choosing online relative to the no-discount case. We compared the combined 10%, 25%, and 50% against 0%, yielding a significant effect ($B = 1.80$, $SE = 0.61$, $z = 2.97$, $p = .003$, $OR = 6.08$). The presence of any discount raised the odds of choosing online by approximately six times. H1b is supported.

4.5.3 H1c: Discount × Base Price

We predicted that the positive effect of the discount would be stronger at the higher base price, where the savings are larger. The interactive model contains three discount-by-price terms. The interaction at 10% was significant ($B = 2.65$, $SE = 1.07$, $z = 2.49$, $p = .013$, $OR = 14.14$). So was the interaction at 50% ($B = 3.91$, $SE = 1.08$, $z = 3.61$, $p < .001$, $OR = 50.01$). The interaction at 25% was not ($B = 0.64$, $SE = 0.87$, $z = 0.73$, $p = .464$).

Figure 4.4 shows why. At a 25% discount, online choice rates were similarly high at both price levels, with the gap actually favoring the low price (73.4% at 700 NTD and 56.1% at 1,500 NTD). At 10% and 50%, the predicted pattern clearly holds. We thus give H1c partial support, as the predicted moderation appears at the 10% and 50% discount levels but not at the 25% discount level.

4.5.4 H1d: Non-linearity at the highest discount

We predicted that the positive effect of discount would weaken at the highest level, in line with the quality-suspicion mechanism discussed by Zheng et al. (2022). To test this, we compared two models: one with the discount coded as a continuous variable and another with it coded as a dummy variable. Continuous coding assumes a linear effect, whereas dummy coding allows each level to have its own effect. The likelihood ratio test favored the dummy model ($\chi^2(2) = 31.80$, $p < .001$), with the AIC sizably improving (509.47 vs. 537.27). In the interactive model, the odds ratio relative to 0% is larger at 25% (OR = 11.80) than at 50% (OR = 6.48). H1d is supported.

Table 4.9 *Supplementary Hypothesis Tests*

Test	Specification	Result
H1b: Any discount vs none	Planned contrast (mean of 10/25/50% dummies vs 0%) in full interactive model	B = 1.805, SE = 0.607, z = 2.97, p = .003, OR = 6.08
H1d: Non-linearity	Likelihood ratio test comparing dummy vs linear discount specification	$\chi^2(2) = 31.80$, $p < .001$ (ΔAIC = 27.8 favoring dummy coding)

4.6 Reputation Effects

4.6.1 H2a: Main Effect of Reputation

We predicted that a high seller reputation would increase the probability of choosing online. In the trend model, reputation produced a highly significant effect (B = 2.09, SE = 0.31, z = 6.78, $p < .001$, OR = 8.07). The odds of choosing online were approximately eight times higher under high-reputation than under low-reputation. H2a is thus supported.

4.6.2 H2b: Reputation × Discount

We predicted that the positive effect of discount would be stronger under high reputation, where the discount signal carries more credibility. The interactive model contains three discount-by-reputation interactions at their respective discount levels. None were significant; the smallest p was .141 at the 25% discount level.

Figure 4.3 shows the low-to-high reputation gap widening with discount: 14 percentage points at 0%, 22 at 10%, 51 at 25%, and 31 at 50%. Although the formal interaction terms are not significant, the descriptive pattern suggests that reputation differences become more noticeable at higher discount levels. We conclude H2b is not supported. We return to this discrepancy in Chapter 5.

4.6.3 H2c: Reputation × Base Price

We predicted that a high reputation would matter more at a higher base price, where the financial risk is greater. The reputation × price interaction in the interactive model was small and non-significant ($B = 0.26$, $SE = 0.59$, $z = 0.44$, $p = .659$). There is no evidence that the base price moderates the reputation effect. H2c is not supported.

4.7 Trust and Risk Aversion

4.7.1 H3a: Trust Index

We predicted that higher baseline trust would be associated with a higher probability of choosing online. In the trend model, trust had a small positive effect ($B = 0.42$, $SE = 0.21$, $z = 1.97$, $p = .049$, $OR = 1.52$). A one-point increase in the 1-7 trust scale was associated with roughly 1.5 times higher odds of choosing online. In the interactive model, which is conditioned on the reputation × trust interaction, the coefficient remains similar, but the standard error increases, leaving the effect marginal ($B = 0.45$, $SE = 0.25$, $z = 1.82$, $p = .069$). Thus, we conclude H3a as weakly supported.

4.7.2 H3b: Reputation × Trust

We predicted that the positive effect of reputation would be weaker for respondents with higher baseline trust, who need less reassurance from reputation signals. However, the results show that the interaction between reputation and trust was not significant ($B = -0.28$, $SE = 0.32$, $z = -0.87$, $p = .384$). The coefficient is in the predicted negative direction, but the effect is small, and the standard error is wide. H3b is not supported.

4.7.3 H4a: Risk Aversion

We predicted that more risk-averse respondents would be less likely to choose online, given that offline options offer less uncertainty. The risk aversion coefficient was non-significant in both models (trend model: B = 0.04, SE = 0.14, z = 0.26, p = .797; interactive model: B = -0.08, SE = 0.16, z = -0.49, p = .628). The direction of the effect was inconsistent across our two models, which is reasonable given the near-zero effect. H4a is thus not supported.

4.7.4 H4b: Reputation × Risk Aversion

We predicted that the positive effect of reputation would be stronger for more risk-averse respondents, who would place greater value on the strong-reputation signal. The interaction between reputation and risk aversion was not significant (B = -0.06, SE = 0.22, z = -0.30, p = .768). The coefficient is essentially zero and runs in the opposite direction to our prediction. H4b is not supported.

4.8 Summary of Results

Table 4.10 summarizes our decisions on each hypothesis. Discounts produced the clearest results. The upward trend across discount levels was confirmed (H1a), and even a small discount produced a substantial shift toward online choice (H1b). The interaction with base price was significant at the 10% and 50% levels but not at the 25% level, so we gave H1c partial support. The predicted weakening at the highest discount level was visible in both the likelihood ratio and the descriptive pattern (H1d).

Taken together, H1a and H1d make sense as parts of a single story rather than as separate results. The overall positive trend in H1a aligns with the savings mechanism: more discounts, more reason to switch online. The flattening at 50% in H1d fits the quality-suspicion mechanism: at some point, the discount starts to look suspicious rather than attractive. Both mechanisms appear to be operating in our data, with the savings effect dominating through moderate discount levels and the quality suspicion effect being prominent at the highest level.

Seller reputation produced a large main effect (H2a) but did not have significant interactions with either discount or base price (H2b, H2c). H2b showed the predicted pattern in the raw data, particularly at the 25% discount; however, the formal interaction was not significant. For trust and risk aversion, the results were weaker. Baseline trust positively predicted online choice (H3a), with weaker evidence in the interaction model. Risk aversion did not predict the channel choice (H4a), and neither trait moderated the reputation effect (H3b, H4b).

Language control was not significant in either model ($p > .65$). This rules out a detectable overall shift between the English and Chinese subsamples, but it cannot fully separate language from vignette block B.

We also conducted a retrospective power analysis to assess the effects that the completed design could reasonably detect. The full results appear in Appendix A. The core discount effects were well powered, including the any-discount contrast (H1b, 100%), the per-level discount main effects and the reputation main effect (all near 100%), the non-linearity test (H1d, 99.8%), and the discount × price interactions at 10% and 50% (71% and 83%). Power was lower for several interaction terms, including the reputation × discount interaction at 25% (27%), the reputation × price interaction (4%), the discount × price interaction at 25% (9%), and the trust × reputation interaction (18%). For effects with observed coefficients close to zero (the risk aversion main effect and several reputation interactions), power fell below 10%, reflecting both the very small observed coefficients and the design's limited ability to detect effects of that size. Null findings for the underpowered interactions should be read as inconclusive rather than as evidence against the proposed relationships.

Table 4.10 *Summary of Hypothesis Decisions*

H	Prediction	Decision	Evidence
H1a	Higher discount → more online choice	Supported	Linear trend $p < .001$; quadratic component $p = .001$
H1b	Any discount > 0%	Supported	Planned contrast OR = 6.08, $p = .003$
H1c	Discount × price (stronger at high price)	Supported (non-uniform)	Disc10×Price $p = .013$; Disc50×Price $p < .001$; Disc25×Price n.s.
H1d	Effect weakens at 50%	Supported	Peak OR at 25% (11.80) vs 50% (6.48); LR test $p < .001$
H2a	High reputation → more online choice	Supported	OR = 8.07, $p < .001$ (main-effects model)
H2b	Discount × reputation	Not supported by formal test	All three interactions n.s.; descriptively a 51 pp gap at 25% discount
H2c	Reputation × price	Not supported	$B = 0.26$, $p = .659$
H3a	Trust → more online choice	Supported (marginal)	$B = 0.42$, $p = .049$ (main-effects); $p = .069$ (interactive)
H3b	Trust weakens reputation effect	Not supported	$B = -0.28$, $p = .384$
H4a	Risk aversion → less online choice	Not supported	Effect near zero in both models
H4b	Risk aversion strengthens reputation effect	Not supported	$B = -0.06$, $p = .768$; opposite to predicted direction

5. Discussion

5.1 Summary of Findings

The findings of our study fall into three broad groups. First, discount-based incentives are the strongest driver of online choice in our dataset. Online options become substantially more attractive once a discount is present and grow with the size of the discount, with smaller gains at the highest level. Second, seller reputation is a strong driver of online choice on its own, though its interactions with discount and base price are less evident in the formal tests than in descriptive patterns. Third, individual baseline trust and risk aversion play a smaller role, with only the trust main effect receiving weak support.

The rest of this chapter interprets our findings in order of our research questions. Section 5.2 discusses the meaning of our results and connects them back to our theoretical framework introduced in Chapter 2. Section 5.3 outlines the theoretical contributions, Section 5.4 the practical implications, Section 5.5 the limitations of our design, and Section 5.6 directions for future research. Section 5.7 is the conclusion.

5.2 Revisiting the Research Questions

5.2.1 RQ1: Discount and Base Price as Channel-choice signals

In our first research question, we asked how discount levels and base prices influence consumers' choices between online and physical stores. Our findings indicate that discount is the strongest single driver of channel choice. The presence of any discount, even at 10%, raised the odds of choosing online by roughly sixfold compared to no discount, and the effect continued to grow with the size of the discount, with smaller gains at 50%. In a market like Taiwan, where online retail accounts for less than 12% of total retail sales (Statista, 2024), this fact is important. Consumers are not indifferent between channels; they need a financial reason to leave the physical store, and even a small one is often enough.

H1c showed that the size of the discount effect depends on the base price, though the moderation varied across discount levels. At the 10% and 50%, the effect of discount on online choice was stronger at a higher base price (1,500 NTD), where the financial savings were larger. At 25%, the moderation effect was not significant, and descriptive data actually show that the online choice rates were higher at the lower base price (73.4%) than at the higher price (56.1%). This pattern suggests that consumers respond to the absolute amount saved alongside the percentage off, though the 25% reversal in our data indicates that the relationship is not perfectly monotonic across discount levels.

H1d found that the positive effect of discount slightly weakens at the highest level. Relative to the 0% reference category, the odds ratio was higher at 25% (OR = 11.80) than at 50% (OR = 6.48). This pattern is consistent with Zheng et al. (2022), who showed that consumers attribute deeper discounts to quality-related issues rather than promotions, resulting in lower perceived product quality. Lee and Chen-Yu (2018) reported a similar effect for online apparel: higher discounts increased perceived savings but decreased product quality. At 50%, the pattern in our data is consistent with the possibility that the savings gained are partially offset by quality concerns, resulting in a smaller effect than we observed at 25%.

The descriptive pattern in Figure 4.4 showed that the discount × price interaction was not the same across both price levels. At the lower base price (700 NTD), the graph showed strong non-linearity at the highest discount level, whereas at the higher base price (1,500 NTD), the curve continued to rise across all discount levels. This asymmetry suggested that the non-linearity at the highest discount level might apply mainly to the low price. To test this formally, we ran a supplementary model with a quadratic discount term and its interaction with price. The linear discount-by-price interaction was significant ($B = 15.62$, $SE = 5.99$, $p = .009$), indicating that the discount slope is steeper at higher base prices. The quadratic discount-by-price interaction was not significant ($B = 5.73$, $SE = 5.68$, $p = .313$), so we cannot formally conclude that the curve differs by price. A plausible interpretation is that the quality concerns are stronger at the lower base price. A 50% discount on a 700 NTD jacket drops the price to 350 NTD, which is easy to interpret as a quality warning. At 1,500 NTD, a 50% discount brings the price to 750 NTD, which still seems plausible for a new jacket.

We regard this as one of the more interesting patterns observed in our data. At the low base price, the proportion of online choices increased as the discount rose to 25% but declined at the 50% discount level, from 73.4% to 59.6%, whereas the high-price condition showed a more consistent increase across discount levels. One possible explanation is that a very deep discount on an inexpensive item may act as a negative signal, prompting consumers to question product quality rather than focusing solely on the potential savings. Although the interaction between the quadratic discount term and price was not statistically significant ($p = .313$), the experiment included only approximately 30 observations per experimental cell, limiting statistical power to detect price-dependent nonlinear effects. Consequently, we interpret these findings as suggestive rather than conclusive. Future research with a larger sample and a broader range of product prices could examine whether very deep discounts on low-priced products systematically reduce consumers' willingness to purchase online.

5.2.2 RQ2: Seller Reputation as a Trust Signal

Our second research question asked how seller reputation influences consumers' channel choice and whether it moderates the effects of discount and base price. The main effect of reputation in our data is large and clean. Holding everything else constant, high-reputation listings raised the odds of choosing online by approximately eightfold compared with low-reputation listings. This is the largest single-predictor effect in the model and provides strong support for the signaling logic developed in Chapter 2. Reputation signals based on accumulated transactions are costly to fake, which satisfies the credibility condition that Spence (1973) and Kirmani and Rao (2000) identify as necessary for signals to carry meaningful information. The size of the effect also aligns with meta-analytic evidence indicating that seller-level trust signals (such as ratings and sales history) have stronger effects on purchase intention than platform- or community-level signals (Wang et al., 2022). While discount is the broadest driver of channel choice in our design, reputation produces the single largest coefficient in the model. For consumers in the Taiwanese market, who remain cautious about online clothing purchases, both signals matter.

H2b predicted that the positive effect of the discount would be stronger under high reputation, where discount signals carry greater credibility. The formal interaction tests in our model did not support this prediction. None of the three discount × reputation interactions was significant, with the smallest p-value of .141 at the 25% level. However, the descriptive patterns show otherwise. The gap in online-choice rates between low- and high-reputation listings widens with discount: from 14 percentage points at 0% to 51 percentage points at 25%, then narrows to 31 percentage points at 50%. The descriptive evidence is directionally consistent with our prediction, especially at 25%, where the gap is largest.

One possible explanation for this discrepancy is the limited statistical power. The full factorial design contains 16 cells, with roughly 30 observations per cell, and the interaction estimates have inherently large standard errors at this sample size. The coefficient at the 25% (B = 1.63) is in the predicted direction, but the current sample does not allow us to estimate this interaction precisely. Thus, from our data, we cannot determine whether the underlying effect is genuinely present and the test simply lacks sufficient power to detect it, or whether the descriptive gap reflects noise rather than stable moderation. The data show a clear directional pattern that does not reach statistical significance. This reading is supported by the retrospective power analysis (Appendix A): the estimated power to detect the reputation × discount interaction at the 25% level was only 27.4%, meaning that an interaction of the size suggested by the raw data would not have been detected reliably in the current sample.H2c predicted that high reputation would matter more at the higher base price, where the financial risk is larger. The interaction was small and non-significant, and the descriptive choice rates also did not show the predicted pattern. Two factors may contribute to this null result. First, the price range tested in our design (700 NTD vs. 1,500 NTD) is relatively narrow, as we did not want to include high-end luxury; thus, the financial risk asymmetry between the two conditions is small. Second, the Taiwanese Consumer Protection Act grants online buyers an unconditional seven-day return window (Consumer Protection Act of Taiwan, 1994, Article 19), which partially insures the buyer against an adverse outcome regardless of the base price. Both factors reduce the gap in perceived risk that H2c was designed to detect. With a wider price spread, a higher-stakes product category, or a market without this kind of institutional return protection, the predicted reputation × price interaction might be stronger. We return to this point in Section 5.5.

Taken together, the H2 findings present a mixed picture. Reputation is a powerful main-effect signal in our sample. However, its moderating effect on price and discount is harder to detect with our design. The descriptive evidence on H2b is consistent with our theoretical prediction, but the formal test does not reach significance. The H2c null may reflect our limited price range rather than the absence of the effect.

5.2.3 RQ3: Consumer Trust and Risk Aversion as Drivers and Moderators

Our third research question asked how baseline trust in online shopping and individual risk aversion influenced channel choice, both directly and through their interaction with seller reputation. H3a received weak support. The trust index showed a positive effect on online choice in the trend model ($B = 0.42$, $p = .049$, $OR = 1.52$), with a one-point increase on the 1-7 scale associated with roughly 1.5 times higher odds of choosing online. In the interactive model, the same coefficient remained similar in size but was no longer significant ($B = 0.45$, $p = .069$). The pattern is consistent with the literature on dispositional trust, which we used to develop our trust index. Trust serves as a baseline that predisposes consumers toward online transactions (McKnight et al., 2002; Kim et al., 2008); the effect in our sample is relatively small.

H3b predicted that high reputation would matter less for consumers with higher baseline trust, who need less reassurance from external signals. The interaction was not significant ($B = -0.28$, $p = .384$). As we predicted, the coefficient is negative but small in magnitude, and the test does not reach statistical significance. We do not have evidence that trust lowers the reputation effect in our sample. One possible reason is that the effect is so large (OR around 8) that it operates more or less the same across trust levels, leaving little room for trust to moderate it. This is consistent with the idea that strong seller-level signals affect all consumers, not just those who need reassurance.

H4a predicted that more risk-averse respondents would be less likely to choose online, and H4b predicted that a high reputation would matter more for them. Neither prediction was supported. Risk aversion produced essentially no main effect, with coefficients close to zero in both models ($B = 0.04$ in the trend model, $B = -0.08$ in the interactive model), and direction was inconsistent. The risk × reputation interaction was not significant ($B = -0.06$, $p = .768$). The descriptive distribution of risk aversion in our sample is concentrated above the midpoint (mean = 5.26, SD = 1.23 on a 1-7 scale), suggesting that most respondents reported moderate-to-high risk aversion. The restricted range may have limited our ability to fully detect the effect and its effect on channel choice. A single-item measure also captures less variation than a multi-item scale would.

Together, the trait findings suggest that individual differences in trust and risk aversion play a smaller role in channel choice than listing-level signals do. The measurement limitations described above are part of the explanation, and the institutional context is also relevant. As discussed in Section 5.2.2, Taiwan's seven-day return window provides a baseline level of insurance against adverse outcomes (Consumer Protection Act of Taiwan, 1994, Article 19). In this environment, individual risk aversion may matter less for channel choice than it would in a market without such protections, because the worst-case outcome is partially capped for everyone. Reputation and discount, which operate at the listing level, may therefore drive channel choice more than consumers' general trait dispositions do.

5.3 Theoretical Contribution

Our study makes three main contributions to the existing literature on channel choice and consumer signaling. None of these reframe existing theory, but each adds empirical evidence to a less-explored context.

First, we provide empirical evidence on signaling and trust effects in the Taiwanese clothing market, which has received limited empirical attention to date. Existing work on signaling theory and seller reputation has mainly focused on other e-commerce markets, including the US, China, and India (Mavlanova et al., 2012; Qiu et al., 2018; Basu & Sondhi, 2021), with limited application to Taiwan specifically. Our finding that reputation produces a large main effect (OR ≈ 8) and discount produces a strong overall effect, together accounting for the clearest and most consistent effects on channel choice in our data, confirms that the core signaling and promotional mechanisms operate as theory predicts. The size of the effects also suggests that the signals matter: even modest discounts shift consumers toward online channels in a market where offline retail remains the dominant choice for clothing.

Second, our H1a and H1d findings together provide empirical evidence consistent with the dual-signal nature of discounts described in Section 2.3. The H1a positive trend aligns with the economic-incentive mechanism: larger discounts produce a stronger pull toward the online option by increasing savings. The H1d weakening at the deepest discount fits the quality-suspicion mechanism described by Zheng et al. (2022), in which deeper discounts trigger consumer concerns about product quality. The odds ratio relative to 0% was larger at 25% than at 50%, indicating that the savings effect dominates through moderate discount levels while the quality-suspicion effect catches up at the deepest discount. The supplementary analysis suggested that this non-linearity may be larger at the lower base price, where a 50% discount reduces the final price to 350 NTD and may signal a problem with the product. Although the formal test did not reach statistical significance, the descriptive evidence suggests that these quality concerns may be stronger at lower absolute prices. This dual-signal pattern has been theorized in the discount literature, but rarely tested directly in a channel-choice setting. Our results provide empirical evidence that both mechanisms operate jointly when consumers decide between online and physical store options.

Third, our findings show that listing-level signals (discount and reputation) are more influential than consumer traits (baseline trust, risk aversion) in driving channel choice in our context. The trait effects were either weak (trust) or null (risk aversion), while listing-level signals produced large and consistent effects. One contributing factor is likely Taiwan's institutional return protection, which caps the downside of the online purchase for all consumers and may reduce the relevance of individual risk aversion. This contribution is exploratory rather than definitive, given the measurement limitations of our trait scales, but it suggests that in markets with strong consumer protections, the channel decision may be driven primarily by what consumers see in the listing rather than by their general trait disposition.

These contributions are empirical in nature. The theoretical framework of signaling and trust-risk that we draw on is well-established. What our study adds is evidence about how these frameworks operate in a specific market and design, with a quantified effect size that can inform future replications and comparisons.

5.4 Practical Implications

For online sellers and platforms operating in the Taiwanese clothing market, our findings highlight two main levers for shifting consumers toward online channels: discount and seller reputation. Both produce large effects, with reputation alone raising the odds of an online choice by roughly eight times, and even a modest discount (10%) produces a substantial shift relative to no discount. Sellers should also be cautious with very deep discounts. In our H1d findings, we suggest that the marginal gain from increasing a discount from 25% to 50% is smaller than the gain from 0% to 25%, and the descriptive pattern at the lower base price suggests that a 50% discount may raise quality concerns. For inexpensive items, a moderate discount may produce a better outcome than the deepest possible discount.

For brick-and-mortar retailers in Taiwan, our findings point to both a strength and a vulnerability. The strength is the large baseline preference for offline channels when listings are not discounted, and reputation is low: at the 0% discount with low reputation, only about 9% of choices in our data favored online channels. Brick-and-mortar retailers have a clear advantage in this default scenario, particularly for items where the fit and fabric matter (Rahman et al., 2018; Lee & Chen-Yu, 2018). The 25% discount, combined with a high reputation, produced an online-choice rate of nearly 93% at the higher base price. Physical retailers trying to compete in this segment cannot rely solely on offline preference; in our data, online choice occurred for listings that combined a strong seller reputation with moderate discounts.

Managers or sellers should interpret our findings in light of the Taiwanese regulatory environment. Taiwan's seven-day return window reduces the baseline risk of buying clothing online, which may make consumers more responsive to listing-level cues such as discount and seller reputation. In a market without similar consumer protection, online sellers may need to invest more heavily in trust-building measures before price incentives can have the same effect.

5.5 Limitations

Our study has several limitations that affect how the findings should be interpreted. The first concerns the design of the vignette presentation. The four vignettes presented to each respondent followed a fixed ascending order of discount levels (0%, 10%, 25%, 50%). This means the discount level was fixed by vignette position within the respondent, and we cannot fully separate the discount effect from possible order effects, such as accumulated context from earlier vignettes. The size of the discount effect we observed (a sixfold increase in online-choice odds for any discount versus none) makes it unlikely that order effects alone fully account for the pattern, but they may reduce the precision of the discount estimates.

A second limitation is statistical power. With 121 respondents and 484 observations distributed across 16 design cells, the model has limited power to estimate interaction effects. This is especially visible in the H2b discount × reputation analysis, where the descriptive gap in online-choice rates between low and high reputation widens with discount (from 14 to 51 percentage points across 0% and 25% discount levels), but the formal interaction test did not reach significance. We cannot tell whether underlying moderation is genuinely present and the test simply lacks power, or whether the descriptive gap reflects noise. A larger sample size, or a design that increases the number of observations in each condition while avoiding a fixed order of vignettes, would allow for more precise estimates.

Sample composition is a third limitation. Our recruitment combined convenience sampling through both in-person and online channels, including approaching potential respondents on university campuses and in public areas, as well as sharing the survey through Dcard and personal networks. This produced a sample skewed toward younger respondents (52.1% aged 18-24), students (57%), and women (56.2%). Although the mixed recruitment broadened the sample beyond students alone, it still does not represent the broader population of consumers in Taiwan. Older consumers and consumers with less online shopping experience may respond differently to the manipulated signals. Any generalization to a broader consumer population should be made with this caveat in mind.

The scope of our experimental stimuli also imposes limits on the conclusions. We tested a single product, a bomber jacket, with a relatively narrow price range (700 NTD vs. 1,500 NTD), chosen to keep both prices within a reasonable range for everyday clothing. We did not test luxury items, other clothing types, or other product categories such as electronics or beauty products. The null result for the reputation × price interaction in H2c may partly reflect this narrow price range; a wider spread, or a higher-stakes category, might reveal effects that our design could not detect. Another design limitation is that only the online option varied in discount and seller reputation, while the offline option remained constant. This was an intentional part of the design because we examined under which conditions an online listing becomes attractive enough to pull consumers away from a physical store, but it does not test what would happen if offline retailers also adjusted price, promotions, or other physical store-specific factors. The comparison between channels is therefore informative but asymmetric. Seller reputation was also operationalized as a composite of star rating and total transaction count, with the two cues varying together by design. This means our study identifies the effect of reputation as a unified signal but cannot disentangle the relative contributions of ratings and sales volume. Additionally, our findings are based on a single national market. Taiwan's seven-day return window for online purchases (Consumer Protection Act of Taiwan, 1994, Article 19) reduces the perceived risk of buying online, which may influence the effectiveness of both the listing-level cues and individual traits.

The measurements of our trait variables also have several limitations. The trust index, while multi-item and internally reliable ($\alpha = 0.808$), covers a specific set of trust dimensions and may not capture other relevant dimensions of consumers' disposition toward online shopping. The risk aversion measure was a single item, which captures less variation than a multi-item measure would. The distribution of respondents was concentrated above the midpoint of the scale (mean = 5.26, SD = 1.23 on a 1-7 scale), suggesting a restricted range that may have limited our ability to detect a relationship between risk aversion and channel choice.

Finally, our study has the usual limitations of vignette-based research. Channel choices in vignettes are stated as preferences rather than observed behavior, and respondents may behave differently when making real purchases with their own money. Our data collection also did not include attention checks, duplicate/response screening, or manipulation checks. While our link automatically rotated respondents through the three Chinese vignette versions, we did not implement screening for repeat submissions from the same respondent across separate sessions, nor did we screen for inattentive responses. The English-language version was linked to one specific vignette block rather than being fully randomized across versions. Although we included specific language control in the model, and it was not significant, this does not rule out the possibility that language and block assignment influenced the results.

5.6 Future Research

Several findings in our data point to clear directions for future research.

One direction concerns the H1d non-linearity. We found that the positive effect of discount weakens at 50%, and the supplementary analysis suggested this pattern may be more pronounced at lower base prices. A future study designed specifically around the 50% discount, testing it across a wider range of base prices, would help establish whether deep discounts on low-priced items raise quality concerns while the same percentage on higher-priced items is interpreted as a normal promotion. This would test whether the absolute price threshold matters more than the percentage off.

In our design, we focused solely on one type of clothing: a plain bomber jacket. Extending to other clothing categories would also clarify the scope. Different clothing types vary in how important physical inspection is. A casual t-shirt may require less in-store evaluation than a suit would. Testing whether the dominance of discount and reputation we observed holds for clothing, where in-store evaluation matters more or less, would help establish how channel-choice mechanisms differ across clothing categories.

Future replications would also benefit from several methodological improvements: counterbalancing the vignette order to remove the discount-position effect, randomizing language assignment to separate the effect from block effects, and adding manipulation checks to verify that respondents perceived the conditions as intended. A larger sample would also allow more confident testing of the interactions that our study could only describe.

Finally, a study that also varies offline-side cues would complement ours. Our design held the offline option constant and varied the online listing, which means we can describe when an online listing pulls consumers away from a physical store, but not how offline retailers might respond. A future study that varies offline-side cues, such as in-store discounts, store reputation, or brand familiarity, would allow for a more symmetric test and more direct guidance for brick-and-mortar stores.

5.7 Conclusion

This thesis examines how price, discounts, and seller reputation influence consumers' channel choice for clothing purchases in Taiwan, specifically their decision to switch from physical stores to online channels. Using a 2 × 2 × 4 factorial vignette experiment with 121 respondents evaluating purchase scenarios for a bomber jacket, we tested how these listing-level signals, together with individual differences in trust and risk aversion, shape channel choice.

Our findings point to several conclusions. Discount and seller reputation are the dominant drivers of channel choice in our data, each exerting a large independent effect. Even a modest discount increases the odds of switching to the online option by roughly six times, while a strong reputation raises those odds by approximately eight times. The discount pattern is not fully linear: the gain in online choice at the 50% discount level is smaller than at the 25% discount level, and descriptive evidence suggests that quality concerns may be stronger at lower absolute prices. Individual traits play a small role: baseline trust shows a small positive effect, whereas risk aversion does not predict channel choice in our sample. One plausible explanation is that Taiwan's consumer protection system caps the downside risk of online purchases for all consumers, thereby reducing the relevance of individual risk dispositions in channel choice.

The main contribution of this thesis is a quantified picture of how listing-level signals shape channel decisions for everyday clothing items among consumers in Taiwan, a context that has received limited empirical attention. The findings suggest that in markets with strong consumer protection, channel decisions for everyday clothing items, such as the one we tested in this study, may be shaped more by listing-level cues than by broader individual dispositions. Future research extending the design to other categories would clarify the scope of this pattern.

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Appendices

Appendix A

We conducted a retrospective power analysis using the simr package in R (Green & MacLeod, 2016) after data collection to assess which effects the completed design could reasonably detect. For each tested effect, the analysis generated 500 simulated datasets using the observed coefficients from the fitted mixed-effects models as the assumed true effect sizes, refit the corresponding model to each simulated dataset, and recorded the proportion of simulations yielding $p < .05$. Because these estimates were based on observed effect sizes rather than a priori theoretical assumptions, they should be interpreted as a sensitivity check on the detectability of the tested effects rather than as a substitute for an a priori power calculation.

Table A *Retrospective Power Analysis Results*

Hypothesis	Coefficient / Test	Effect size (B)	Power
H1 (discount 10%)	discount_f10 vs. 0%	2.30	100.0%
H1 (discount 25%)	discount_f25 vs. 0%	3.40	100.0%
H1 (discount 50%)	discount_f50 vs. 0%	4.10	100.0%
H1b	Any discount vs. none	3.00	100.0%
H1c at 10%	Discount × price	2.60	71.0%
H1c at 25%	Discount × price	0.63	9.2%
H1c at 50%	Discount × price	3.90	82.6%
H1d	LRT (dummy vs. linear discount)	—	99.8%
H2a	Reputation main effect	2.09	100.0%
H2b at 10%	Reputation × discount	−0.19	4.4%
H2b at 25%	Reputation × discount	1.63	27.4%
H2b at 50%	Reputation × discount	0.54	6.0%
H2c	Reputation × price	0.26	3.8%
H3a	Trust main effect	0.42	50.0%
H3b	Reputation × trust	−0.28	17.8%
H4a	Risk aversion main effect	0.04	6.4%
H4b	Reputation × risk	−0.06	6.8%

Appendix B: Survey Vignettes

This appendix reproduces the 16 vignettes used in the experiment. Each respondent saw four vignettes drawn from one of four survey versions. Versions A, C, and D were the Chinese-language blocks (12 vignettes in total). Version B was the English-language block (4 vignettes). Each vignette varies along three dimensions: seller reputation (high: 4.5 stars and 9,000+ sales; low: 2.5 stars and 200 sales), base price (700 NTD or 1,500 NTD), and discount level (0%, 10%, 25%, or 50%). The jacket image, listing layout, and scenario text were identical across vignettes.

Chinese-language vignettes (Versions A, C, D)

Vignette B1. High reputation, base price 700 NTD, 0% discount

Vignette B2. High reputation, base price 700 NTD, 10% discount

Vignette B3. High reputation, base price 700 NTD, 25% discount

Vignette B4. High reputation, base price 1,500 NTD, 0% discount

Vignette B5. High reputation, base price 1,500 NTD, 10% discount

Vignette B6. High reputation, base price 1,500 NTD, 50% discount

Vignette B7. Low reputation, base price 700 NTD, 0% discount

Vignette B8. Low reputation, base price 700 NTD, 25% discount

Vignette B9. Low reputation, base price 700 NTD, 50% discount

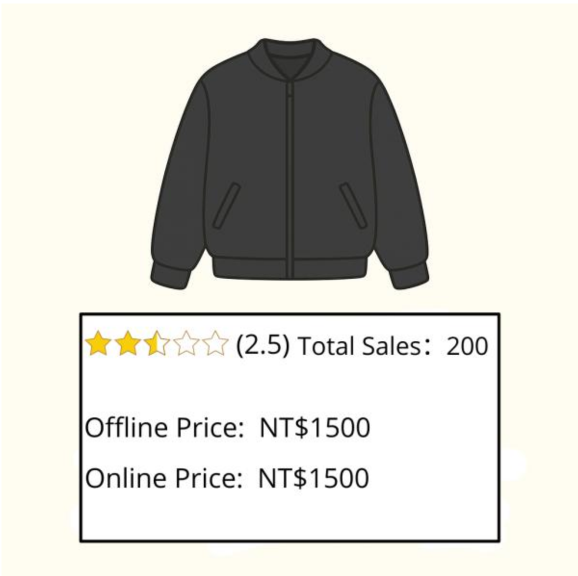
Vignette B10. Low reputation, base price 1,500 NTD, 10% discount

Vignette B11. Low reputation, base price 1,500 NTD, 25% discount

Vignette B12. Low reputation, base price 1,500 NTD, 50% discount

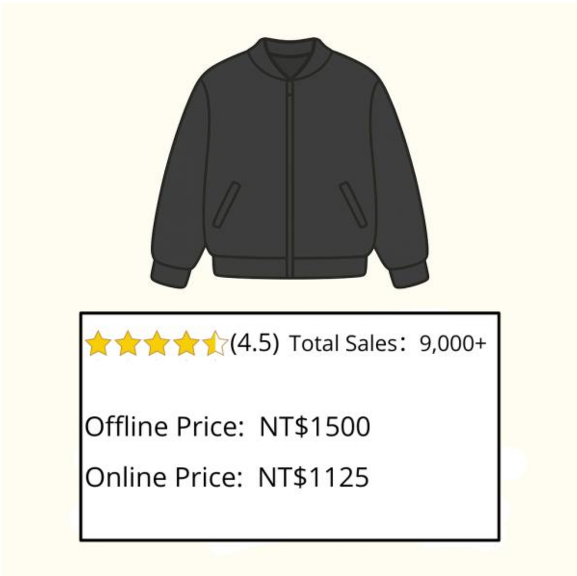
English-language vignettes (Version B)

Vignette B13. Low reputation, base price 1,500 NTD, 0% discount

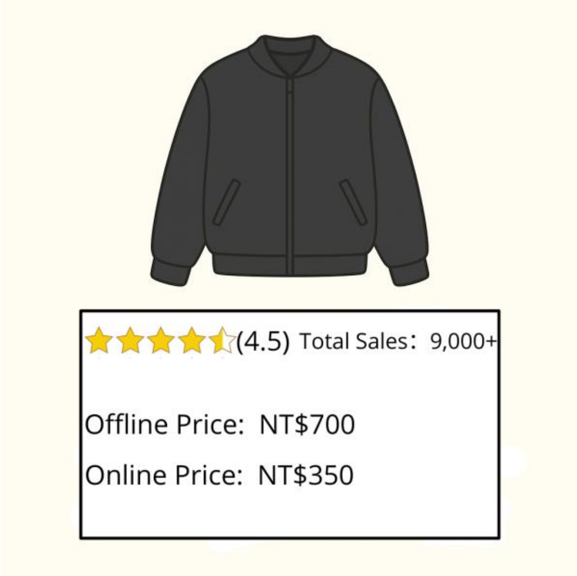


Vignette B14. Low reputation, base price 700 NTD, 10% discount

Vignette B15. High reputation, base price 1,500 NTD, 25% discount



Vignette B16. High reputation, base price 700 NTD, 50% discount



Appendix C: Trust and Risk-Aversion Items

All items used a 7-point Likert scale from 1 (Strongly disagree / 非常不同意) to 7 (Strongly agree / 非常同意). Each item is presented below in English and in the Chinese wording as administered.

Trust index (eight items)

Platform trust

1. If I have a problem (such as a return or dispute), I trust the platform to resolve it fairly (confidence in the site's customer service and guarantees).

若發生問題（例如退貨或爭議），我信任平台能夠公平地處理（我對其客服與保障機制有信心）。

2. I am confident that no one will misuse my information on the platform (the site's security measures prevent data abuse).

我有信心在該平台上不會有人不當使用我的個人資訊（其資安措施可防止資料遭到濫用）。

3. I trust the platform to provide a safe and secure shopping experience (transactions on the site feel protected and risk-free).

我信任該平台能提供安全可靠的購物體驗（在平台上的交易有保障、風險感低）。

Seller trust

4. Most online sellers are trustworthy.

大多數線上賣家值得信任。

5. The seller will deliver goods as promised.

賣家會依照承諾交付商品。

Consumer confidence

6. I believe that clothing items purchased online will meet my expectations.

我相信線上購買的衣物會符合我的期待。

7. My past experiences buying clothes online have been mostly positive.

我過去在線上購買衣物的經驗大多是正面的。

General disposition

8. I generally trust other people unless they give me a reason not to.

我通常信任他人，除非他們讓我有不信任的理由。

Risk aversion (single item)

9. I prefer to avoid risks in my decisions (I tend to choose the safe/certain option over a risky one).

我在做決策時偏好避免風險（相比有風險的選項，我傾向選擇較安全／較確定的選項）。

Appendix D: Robustness Check by Occupational Status

As a robustness check, we examined whether occupational status affected channel choice. The analysis compared students ($n = 69$) and working respondents ($n = 47$); the five respondents in the "Other" category were excluded, leaving 116 respondents and 464 observations.

Table D1. Bivariate comparisons (student vs working)

Variable	Student	Working	Test	p
Online-choice rate	0.50	0.52	Welch $t = -0.34$	.74
Trust index	4.63	4.52	Welch $t = 0.78$	.44
Risk aversion	5.44	4.96	Welch $t = 2.07$	.04
Income (distribution)	—	—	$\chi^2 = 49.77$	<.001
Clothing budget (distribution)	—	—	$\chi^2 = 16.58$	.001

Table D2. Occupational status added to the main-effects model (n = 116, 464 observations)

Predictor	Estimate (log-odds)	p
Discount 10%	2.35	<.001
Discount 25%	3.41	<.001
Discount 50%	4.14	<.001
Reputation (high)	2.13	<.001
Base price (high)	0.16	.52
Trust (centered)	0.44	.04
Risk aversion (centered)	−0.03	.83
Working (vs student)	0.20	.56

Adding status did not improve model fit (likelihood ratio test $\chi^2(1) = 0.34$, $p = .56$), and the working covariate was not significant (OR = 1.23, 95% CI [0.62, 2.44]). The main effects were unchanged. Students and working respondents differed on income and clothing budget, as expected, and slightly on risk aversion ($p = .04$), but not on channel choice or trust. Occupational status, therefore, does not appear to drive the main findings.